4. **Free Competition:** There is free competition in both product market and factor market. The government or any authority cannot prevent firms from buying or selling in the market. There is competition between buyers and sellers.
5. **Price Mechanism:** Price mechanism is the heart of any Capitalist economy. All economic activities are regulated through price mechanism i.e, market forces of demand and supply.
6. **Role of Government:** As the price mechanism regulates economic activity, the government has a limited role in a Capitalist economy. The government provides basic services such as, defence, public health, education, etc.
7. **Inequalities of Income:** A capitalist society is divided into two classes of people viz 'haves' and have - nots are those who own property and 'have-nots' who do not own property but work for their living. The outcome of this situation is that the rich become richer and poor become poorer. Here, economic inequality goes on increasing.

Merits of Capitalism

1. **Automatic Working:** Without any government intervention, the economy works automatically.
2. **Efficient Use of Resources:** All resources are put into optimum use.
3. **Incentives for Hard work:** Hard work is encouraged and entrepreneurs get more profit for more efficiency.
4. **Economic Progress:** Production and productivity levels are very high in Capitalist economies.
5. **Consumers Sovereignty:** All production activities are aimed at satisfying the consumers. Consumers' desire determines what to produce. so they are like sovereigns.
6. **Higher Rates of Capital Formation:** Increase in saving and investment leads to higher rates of capital formation.
7. **Development of New Technology:** As profit is aimed at, producers invest on new technology and produce quality goods.

Demerits of Capitalism

1. **Concentration of Wealth and Income:** Capitalism causes concentration of wealth and income in a few hands and thereby increases inequalities of income.
2. **Wastage of Resources:** Large amount of resources are wasted on competitive advertising and duplication of products.
3. **Class Struggle:** Capitalism leads to class struggle as it divides the society into capitalists and workers.
4. **Business Cycle:** Free market system leads to frequent violent economic fluctuations and crises.
5. **Production of non essential goods:** Even the harmful goods are produced if there is possibility to make profit from them.

1.7.2 Socialist Economy (Socialism)

The **Father of Socialism** is Karl Marx. Socialism refers to a system of total planning, public ownership and state control on economic activities. Socialism is defined as a way of organizing a society in which major industries are owned and controlled by the government, A Socialist

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